

Australian Business Conditions and Confidence, May

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By [Luka Belobrajdic](#)

Economist, Westpac

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Moderation in cost pressures sees business pessimism soften, while conditions held steady. Confidence +10pts to -14 / Conditions unchanged at +3.

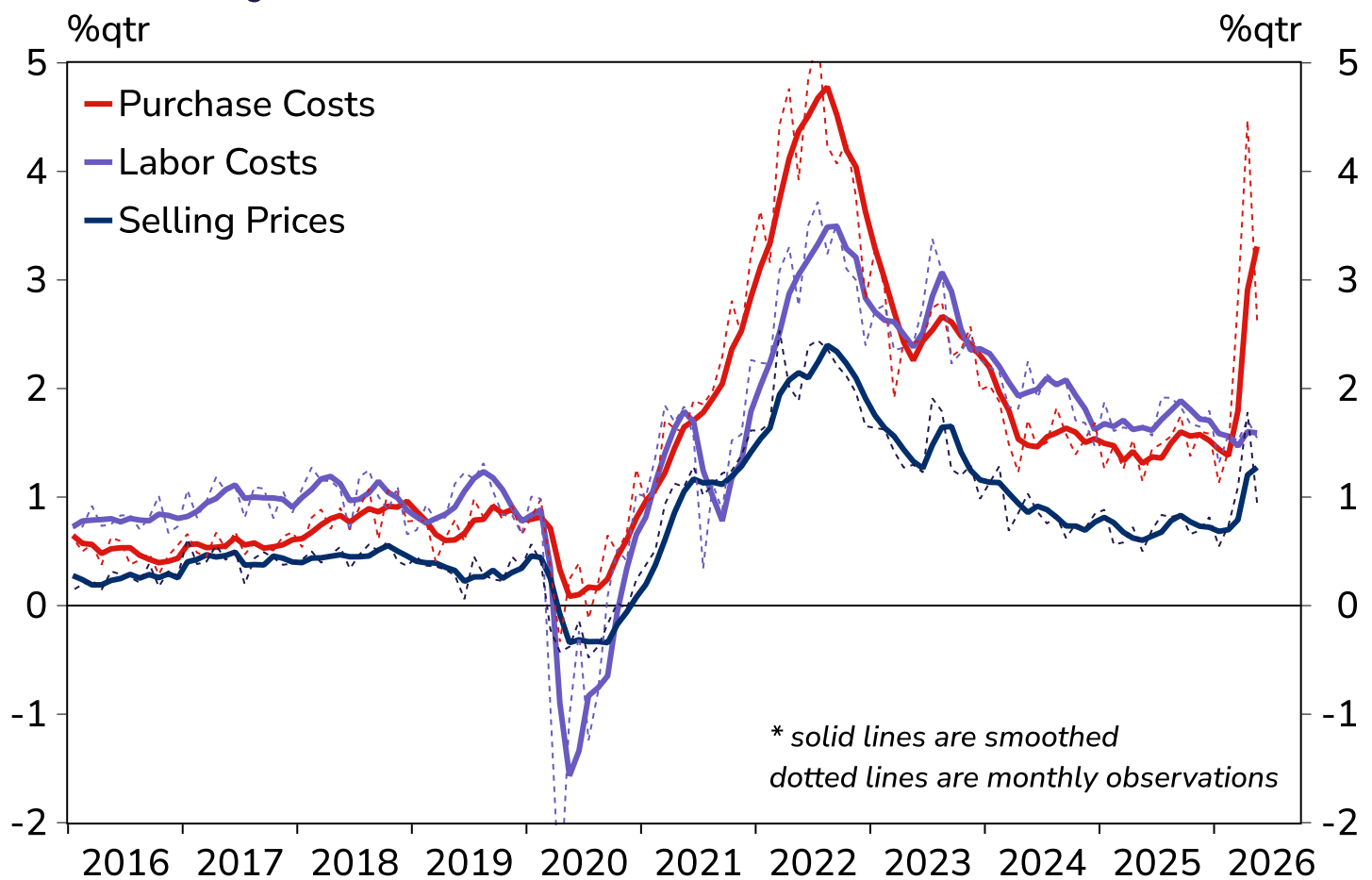


The May NAB Business Survey was in the field from 23 to 30 May, capturing more of a reaction to recent developments in the Middle East and the Government's FY2027 Federal Budget. Business confidence continued to retrace losses following March's sharp decline, rising 10pts to -14, likely

supported by an easing in cost pressures in the month (discussed below). Despite the improvement, confidence remains 18pts below its long-run average – a deeply pessimistic level underscoring the ongoing impact of heightened uncertainty. Consumers continue to share this deep sense of pessimism, with cost-of-living pressures a clear concern for many households.

It was encouraging to see a moderation in cost pressures in May. Most notably, purchase cost growth declined by 1.8ppt – the sharpest monthly fall on record – to 2.6%qtr. However, this represents only a partial reversal from the striking surge over the previous two months, with purchase cost growth still sitting 1.4ppt above its long-run average. Labour cost growth also eased modestly, down 0.2ppt to 1.5%qtr, reversing last month's increase. Consistent with the moderation in input costs, final product price growth declined by 0.8ppt to 0.9%qtr – also the largest fall on record – but again, still 0.4ppt above its long-run average. This is broadly consistent with an ongoing, albeit moderated, risk of cost pass-through.

NAB Survey: Costs and Prices



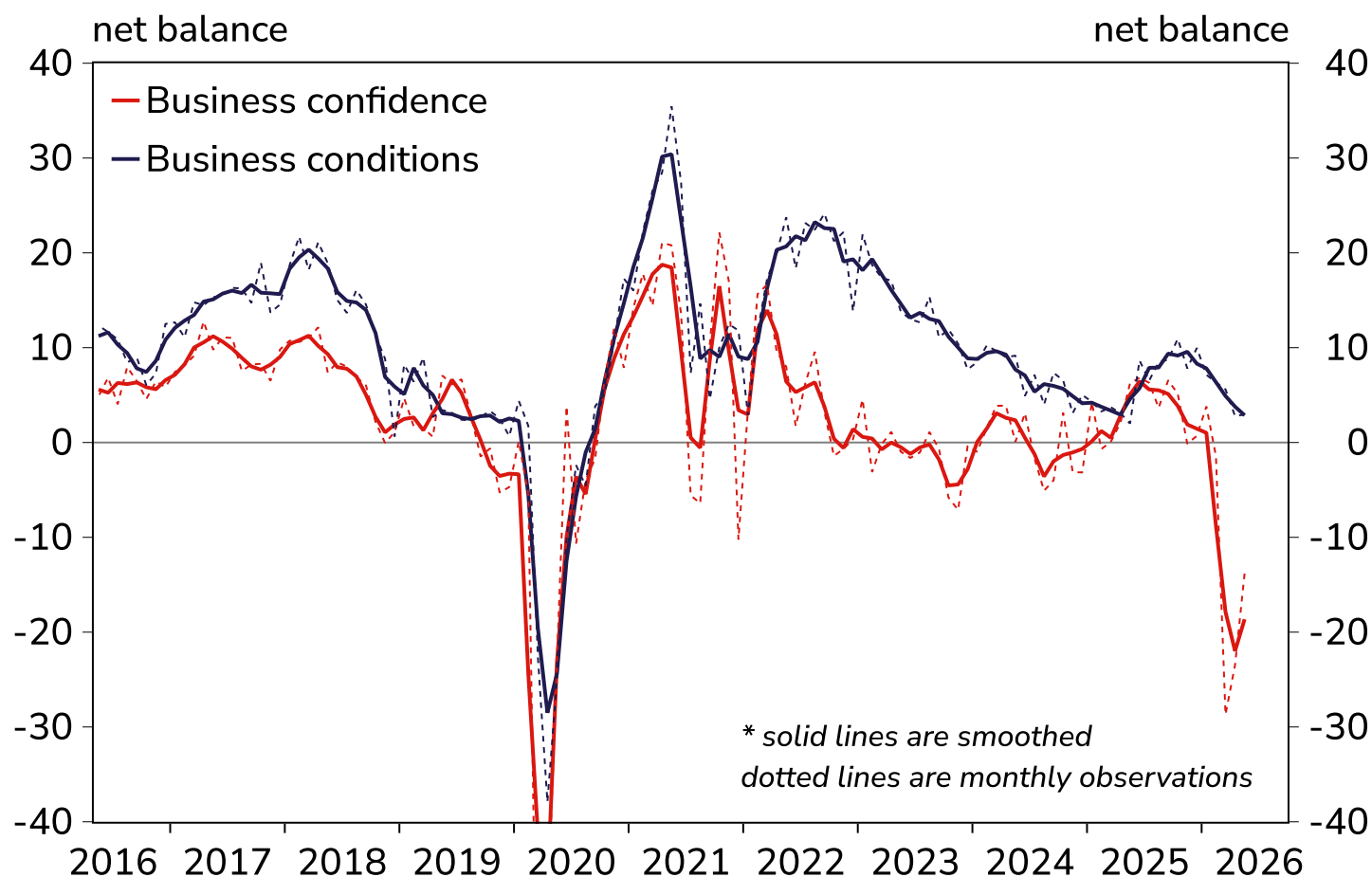
Source: NAB, ABS, Macrobond, Westpac Economics

The headline business conditions index held steady at 3pts in May, following a 3pts decline in April. Conditions remain 4pts below their long-run average and well below the peak of 11pts recorded in October last year. On a three-month average basis, conditions continue to trend lower through 2026, reinforcing the view that underlying momentum has been easing, as evinced in the latest National Accounts.

Across the major sub-components, profitability moved into negative territory, declining 1pt to -1,

indicating that more firms are reporting a deterioration in profitability than an improvement. This leaves the sub-index 6pts below its long-run average and suggests that the higher cost base continues to squeeze margins. Trading conditions improved modestly, rising 1pt to 8pts, while the employment sub-index held firm at 2pts (+1pts when rounding), supporting our view that some of the outsized weakness in the [April Labour Force data](#) reflected abnormal seasonality.

Business conditions and confidence

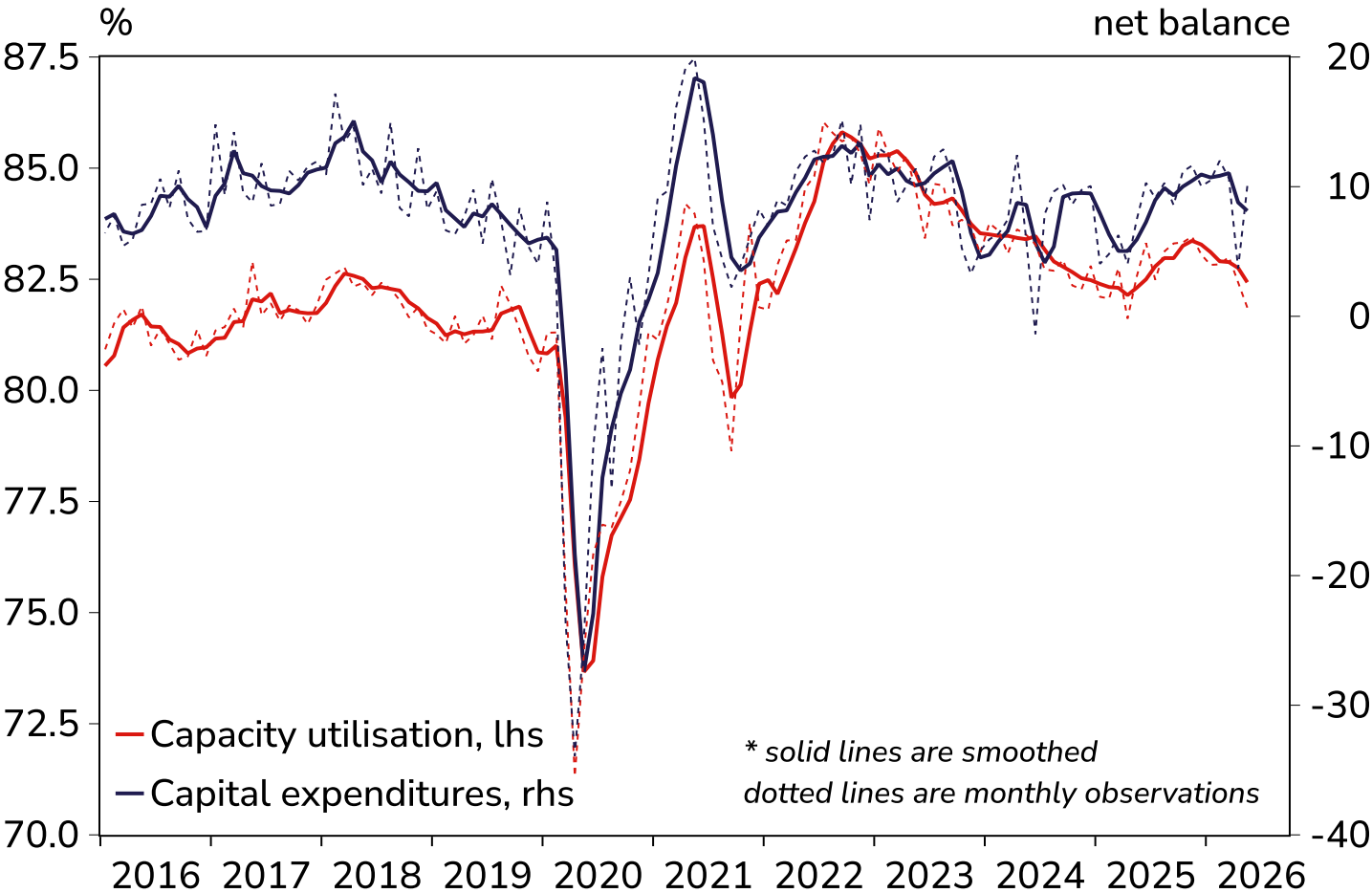


Source: NAB, Macrobond, Westpac Economics

Capacity utilisation declined notably to 81.9% in May, its lowest level in 12 months. While still 0.5ppt above its long-run average, this outcome reflects a clear easing since the onset of the conflict in the Middle East. By contrast, capital expenditure rebounded, rising 6pts to 10 and re-establishing a position 4pts above its long-run average, consistent with the strength in capex intentions evident in the [March quarter capex survey](#).

Among other indicators, forward orders improved, rising 5pts to 0, in line with the modest pickup in trading conditions. Inventories declined by 1pt to 3, likely reflecting weaker forward orders in the previous month.

Capacity utilisation and capital expenditures



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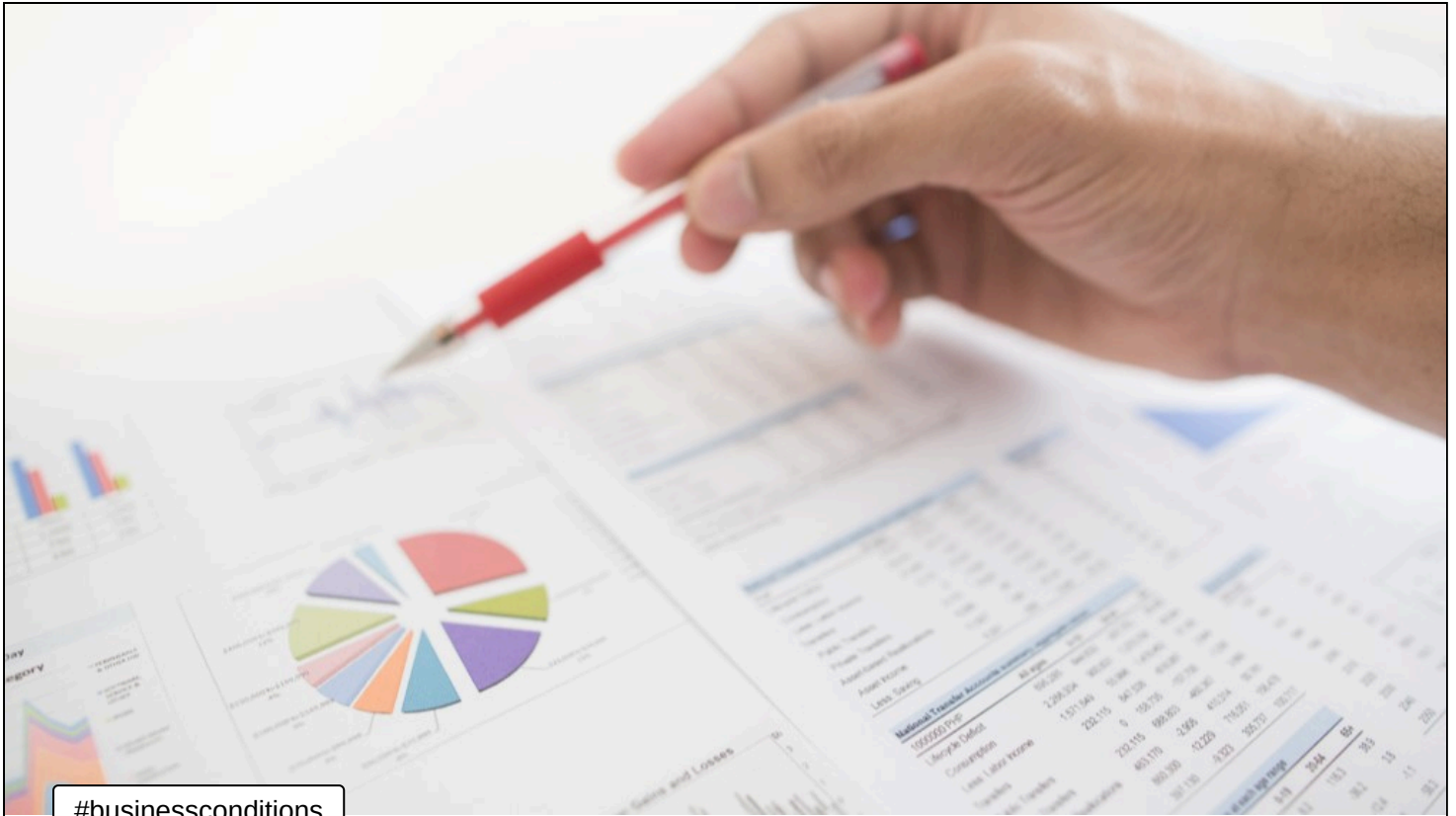


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